



Our Ref: 250/LC/24

27 January 2004

Circular to Licensed Corporations
Migration to the new regime under the Securities and Futures Ordinance

It has been about ten months since the new regime under the Securities and Futures Ordinance (“SFO”) was implemented on 1 April 2003. The SFC wishes to remind all licensed persons (including corporations and individuals) who have been registered under the former regime but yet to lodge their migration applications with the SFC to plan ahead of their migration schedule.

Please note that while the licensed persons concerned may submit their migration applications anytime within the two-year transitional period ending 31 March 2005, they could enjoy a 5% discount on annual fees if they submit their migration applications within the first year of the transitional period (i.e. before 1 April 2004) as an incentive for early action. For details, please refer to paragraph 20 of the Guidelines on Waivers of Certain Licensing Fees which is available at the SFC’s website.¹

Preferably, the licensed persons concerned should submit their migration applications at least two weeks before their licence anniversary date. Migration application forms can be downloaded at <http://www.hksfc.org.hk/eng/bills/html/sfo-form.htm> or obtained through the SFC Infoline at 2840-9393 (press 236 after connected).

If you have not submitted your migration application before your licence anniversary date, the SFC will send you a set of migration application forms suitable for your firm and your licensed representatives (Form 1(x) for the firm and Form 3(x) for each representative) when it issues the reminder letter concerning your annual return submission and annual fee payment during the transitional period.² You should then take prompt action to arrange for migration upon receipt of the application forms.

¹ The Guidelines on Waivers of Certain Licensing Fees can be downloaded at http://www.hksfc.org.hk/eng/licensing/html/intermediaries/guidelines_lic_fees_eng.pdf.

² Under the new licensing regime, all licensed persons are required to lodge their annual returns and pay their annual fees within one month after each anniversary date of their licences. A reminder letter will be sent on or around a licensed person’s anniversary date each year to remind him of his statutory obligations in this regard. This requirement differs from that in the former regime where annual returns and annual fees were required to be submitted and paid on or before each anniversary date.



When you apply for migration, you should appoint at least two fully competent responsible officers to directly supervise the conduct of each regulated activity you apply for.³ Also, you should concurrently submit the migration applications of your licensed representatives concerned in one single batch to facilitate administration. For further information and guidance, please refer to the Guidelines on Transitional Arrangements and the sample of completed migration application forms available at the SFC's website.⁴

Please note that representatives are only required to be licensed for those regulated activities that they conduct on behalf of their principals. Thus, it is possible that, for example, a corporation is licensed for Types 1, 2 and 3 regulated activities whereas some of its representatives are licensed for Type 1 only.

To further expedite the migration process, if you intend to carry on any new regulated activities for which you are not deemed to have been licensed under Schedule 10 to the SFO, it is advisable that you should first migrate to the new regime in respect of any of those regulated activities that you are already deemed licensed. Upon approval of your migration application, you may then separately apply for adding new regulated activities to your licence by lodging Form 4 and the required supplements, if any. This advice is also applicable to your licensed representatives contemplating to carry on any new regulated activities.

Where you propose to undertake any regulated activities which you are not currently conducting (even though you are deemed licensed for such activities), you should also address in your migration application the issues relating to internal control, experience of the proposed responsible officers and possible conflict of interests, etc.

Please disregard this circular if you and your licensed representatives concerned have already submitted migration applications to the SFC or your licence was granted on or after 1 April 2003 under the SFO.

Should you have any queries on the above, please contact the Intermediaries Relationship Manager of the Licensing Department responsible for your firm.

Licensing Department
Intermediaries and Investment Products Division
Securities and Futures Commission

³ Please provide details of the proposed responsible officers in Section 2 of Form 1(x).

⁴ The Guidelines on Transitional Arrangements can be downloaded at
http://www.hksfc.org.hk/eng/licensing/html/intermediaries/guidelines_on_transitional_arrangements_eng.pdf
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A sample of completed migration application forms can be downloaded at
http://www.hksfc.org.hk/eng/licensing/html/LIC_Sample_Forms/migration_sample_eng.tif

